

CASE STUDY

Sales were up.
Margin was leaking.

They asked us to roll out Salesforce for one view of the customer. The scope: a 360° view doesn't stop margin walking out the door — and the money was leaking through discounts and promotions no one could see across stores, online, and the trade desk.

Real Problem

“Roll out Salesforce so we finally have one view of the customer.”

Scope

They weren't losing customers — they were losing margin. Discounts and promos were given away across channels with no guardrails and no visibility.

01. The Situation

A mid-market omni channel retailer in South Africa — around 140 stores, an online channel, and a wholesale desk — was growing revenue while gross margin slid for several quarters, and no one could say exactly why.

Pricing was managed per channel, mostly by hand. A diagnostic found three compounding causes: store managers had discretion, the trade desk negotiated deals in spreadsheets, online ran promo codes that stacked. Every decision was defensible on its own. In aggregate, margin was leaking through a hundred small holes nobody could see at once.

02. What We Found

Our diagnostic surfaced three compounding issues.

- 1. **Discounting with no guardrails.** Reps and store managers discounted at will; off-policy discounts were invisible until month-end.
- 2. **Promotions that stacked.** Online codes combined with markdowns; nobody governed promo-on-promo margin.
- 3. **Trade-desk deals in spreadsheets.** Terms drifted and accounts were under-billed against agreed pricing.

8%

A 1% improvement in realised price lifts operating profit by roughly 8%. Most of that price quietly leaks away in discounts and promotions nobody governs — the “pocket price waterfall.” Closing the leak is the fastest profit lever there is. So we didn’t start by configuring CRM — we started by finding the leaks.

MCKINSEY - THE POWER OF PRICING

03. What We Found

We started with a margin diagnostic across all three channels to quantify where money was escaping. Only then did we build.

One view of margin

We unified customers, orders and pricing in Salesforce, so every transaction carries its true margin —visible in real time, not reconstructed at month-end.

Guardrails, not dashboards

Discount thresholds and promotion governance (CPQ) built into quote-to-order. O- policy discounts need sign-o ; promo stacking is blocked or flagged.

Leakage analytics

We surfaced where margin escapes—by channel,rep, product, promo —and alerted leaders as it happened, not at month-end.

04. How We Rolled It Out

We didn't boil the ocean. We piloted in one region, proved the recovered margin, and scaled — and we kept sales leaders in the build so the guardrails enabled deals rather than blocking them. The fastest way to kill a governance rollout is to make selling harder; we did the opposite. The wholesale desk’s pricing moved out of spreadsheets and into governed, auditable terms.

05. What An Engagement Like This Delivers

We started with a margin diagnostic across all three channels to quantify where money was escaping. Only then did we build.

2.4 Pts

Gross margin recovered

Pricing visible and governed across every channel.

65%

Fewer off-policy discounts

Approval thresholds built into quote-to-order.

30%

Less trade-account leakage

Under-billing against agreed terms recovered.

The answer wasn’t a better view of the customer. It was margin no one could quietly give away.

Bring us the problem

No proposal until we understand the problem.